

Loan Default Risk Dashboard

6,73,553

Loans

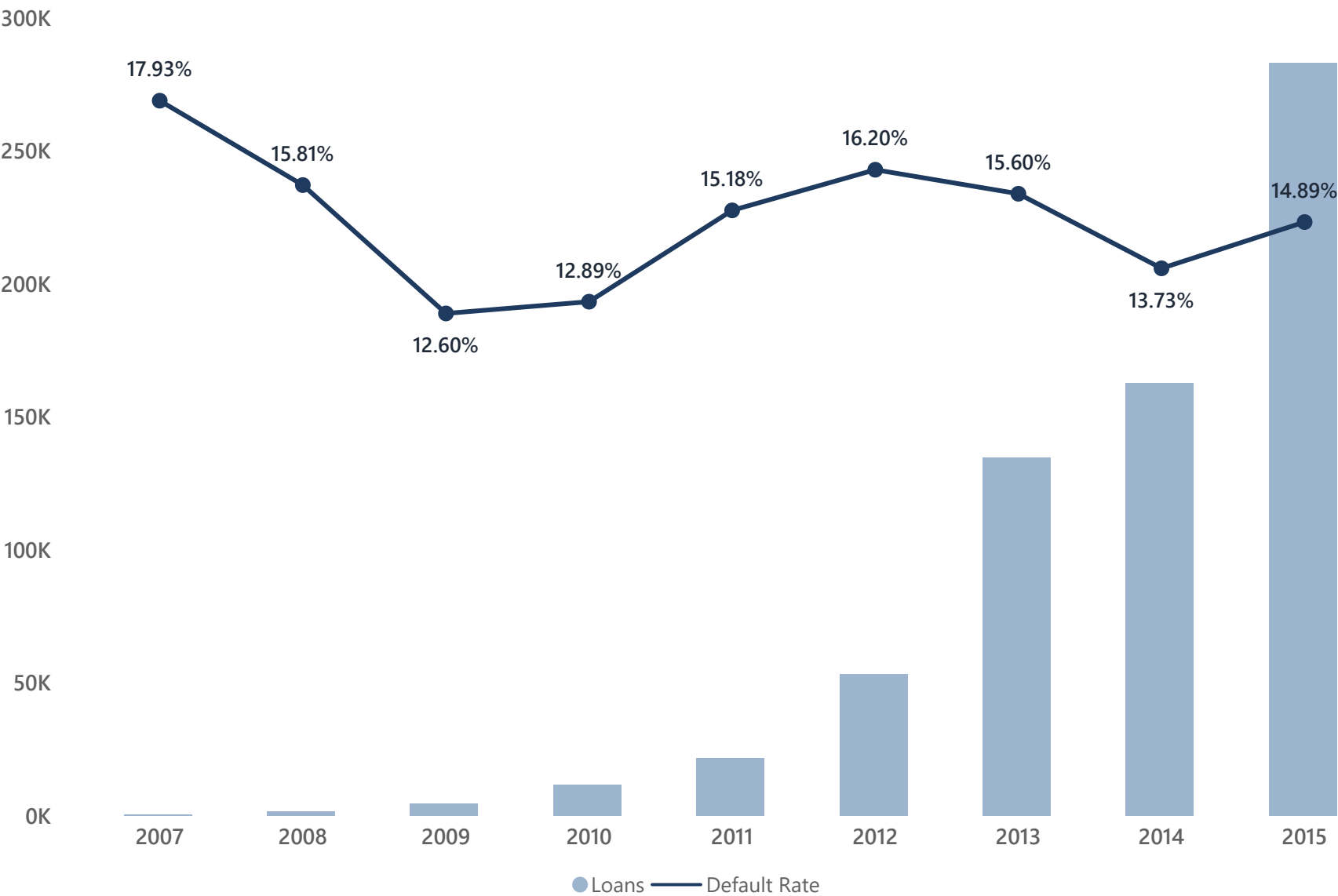
99,785

Defaults

14.81%

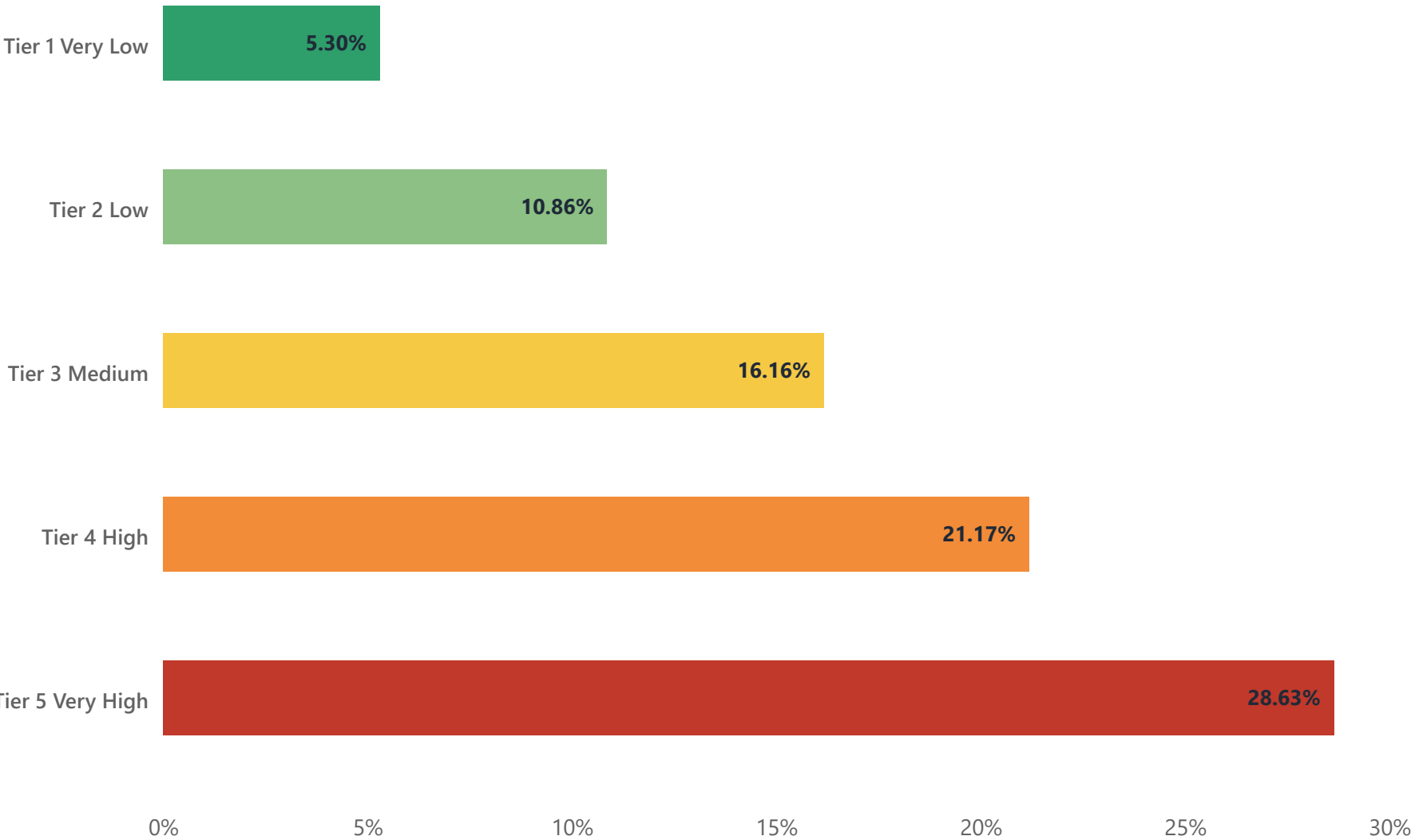
Default Rate

Loans issued and default rate by year



From 2009 to 2015 the default rate stayed between 12.6% and 16.2%. 2007 and 2008 rest on only 251 and 1,562 loans.

Default rate by risk tier

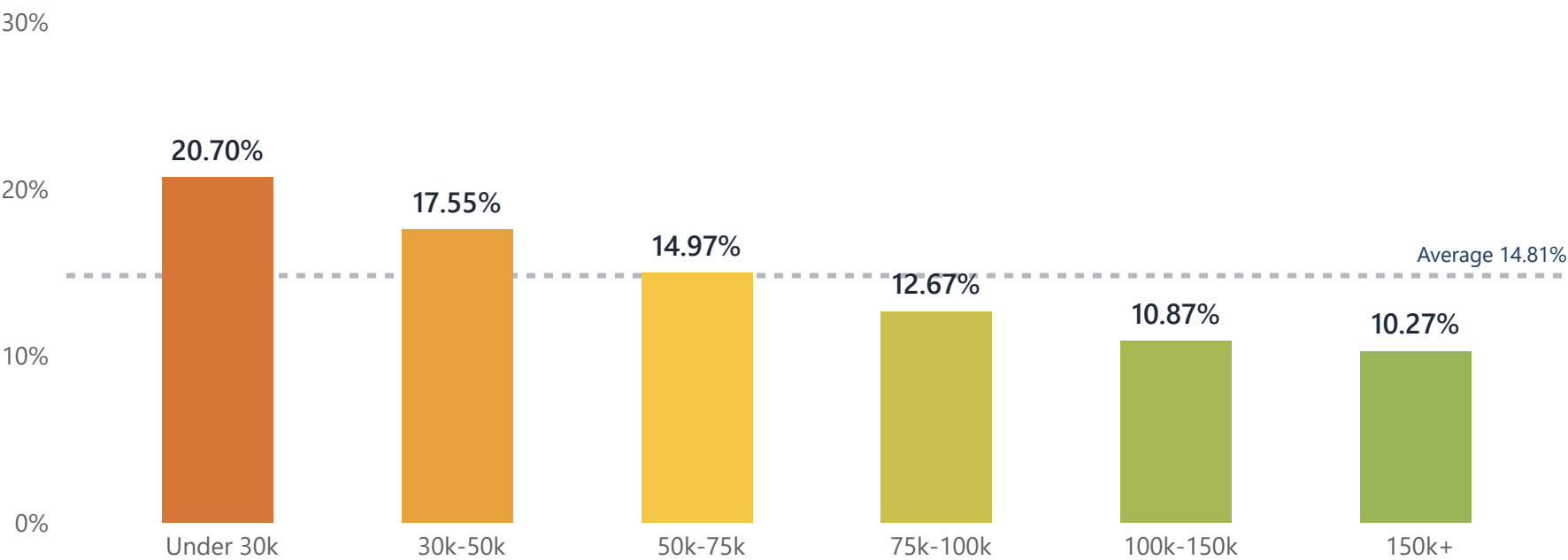


Tier 5 loans fail about 5.4 times as often as Tier 1 (28.63% vs 5.30%).

Note: Completed loans issued 2007 to 2015. Only loans whose full term ended before the end of 2018 are included, so default rates are comparable across years.

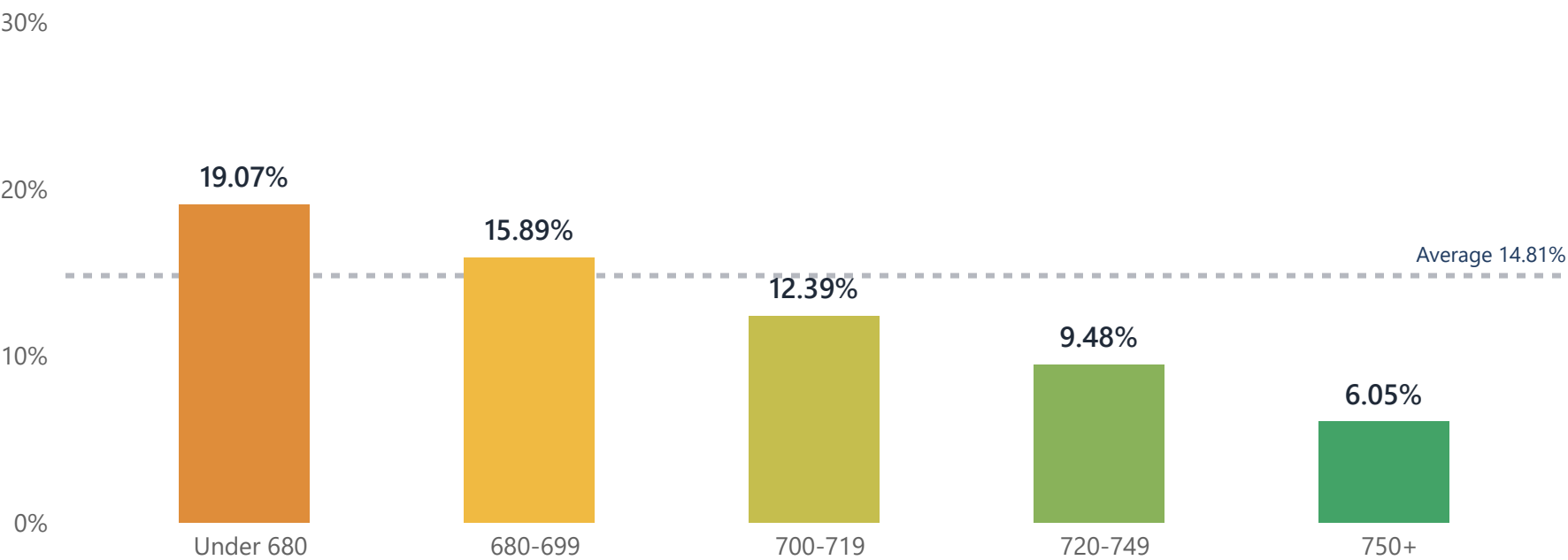
Default Risk by Borrower Profile

Default rate by income bracket



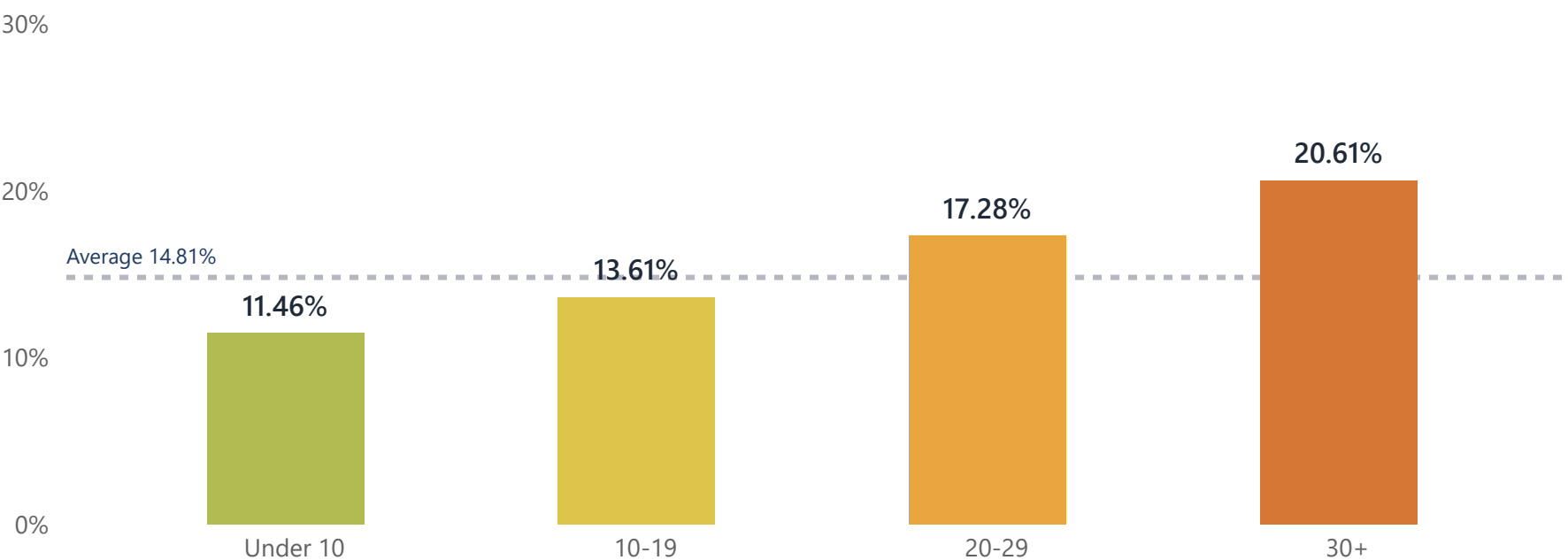
Falls at every step, from 20.7% under 30k to 10.3% at 150k+.

Default rate by FICO score



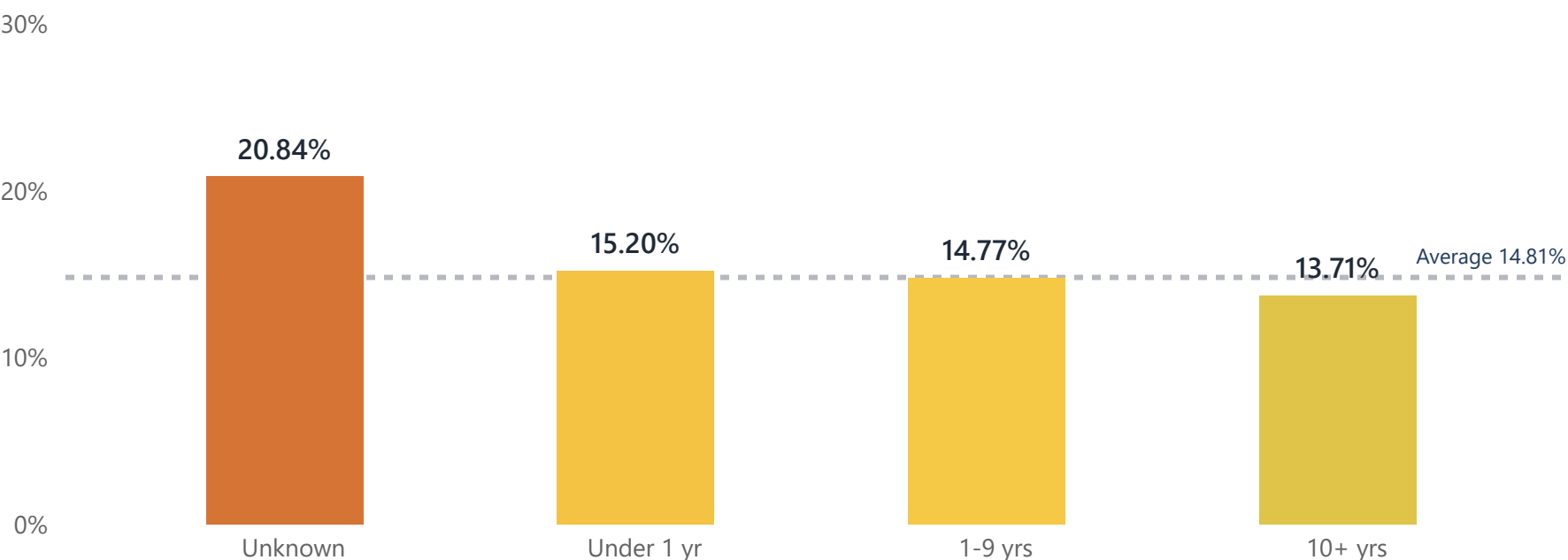
19.1% under 680 down to 6.1% at 750+, about three times lower.

Default rate by debt-to-income (DTI)



Rises from 11.5% under 10 to 20.6% at 30 and above.

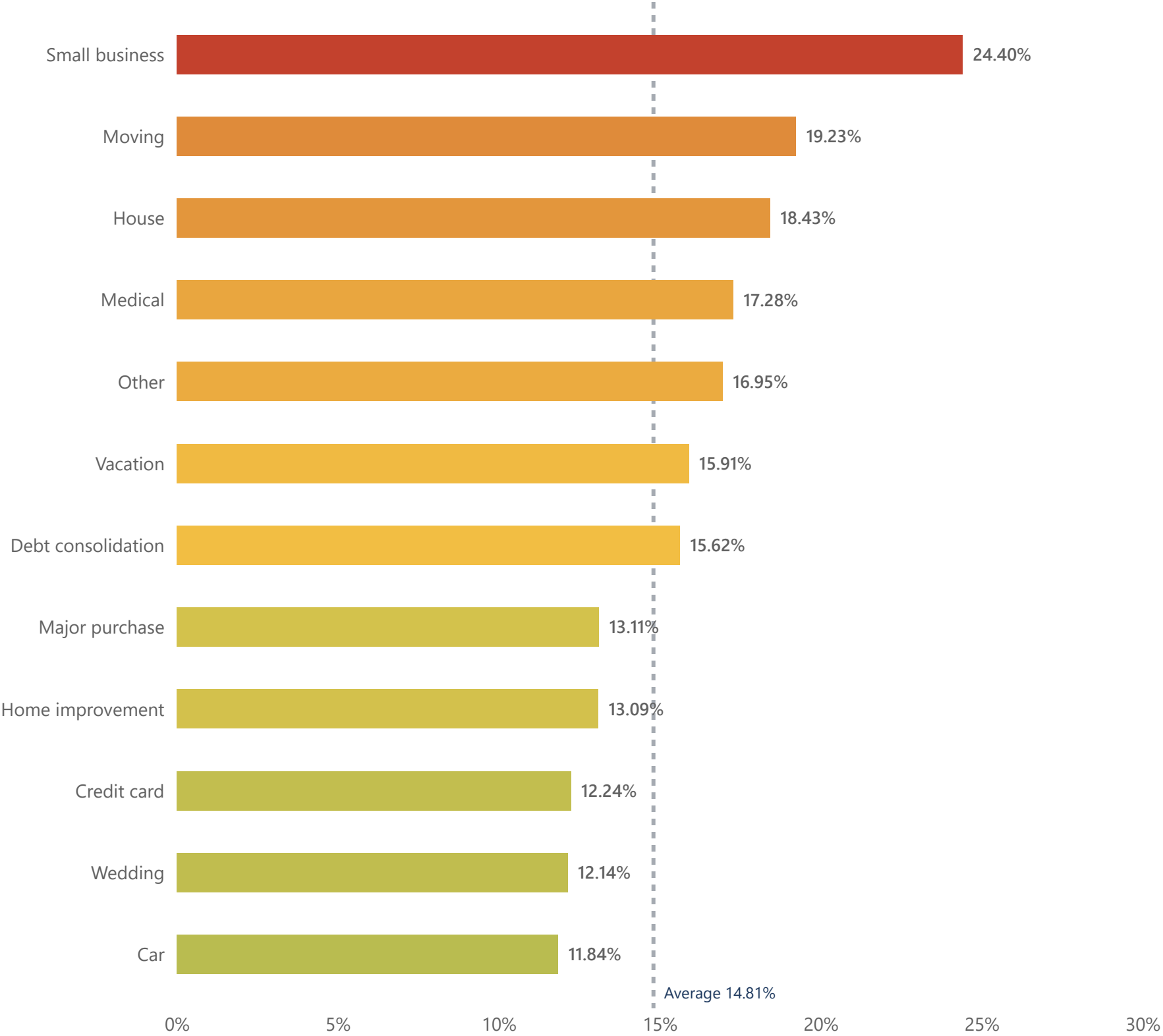
Default rate by employment length



Known lengths sit between 13.7% and 15.2%. Unknown employment is 20.8%.

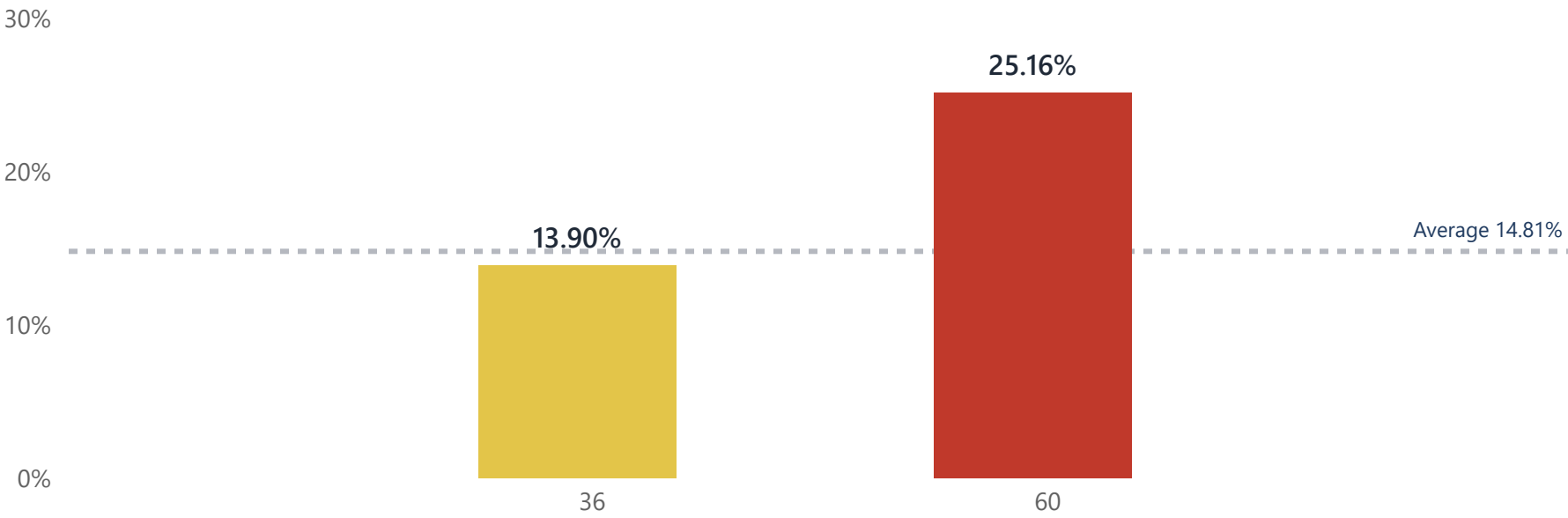
Default Risk by Loan Type and Location

Default rate by loan purpose



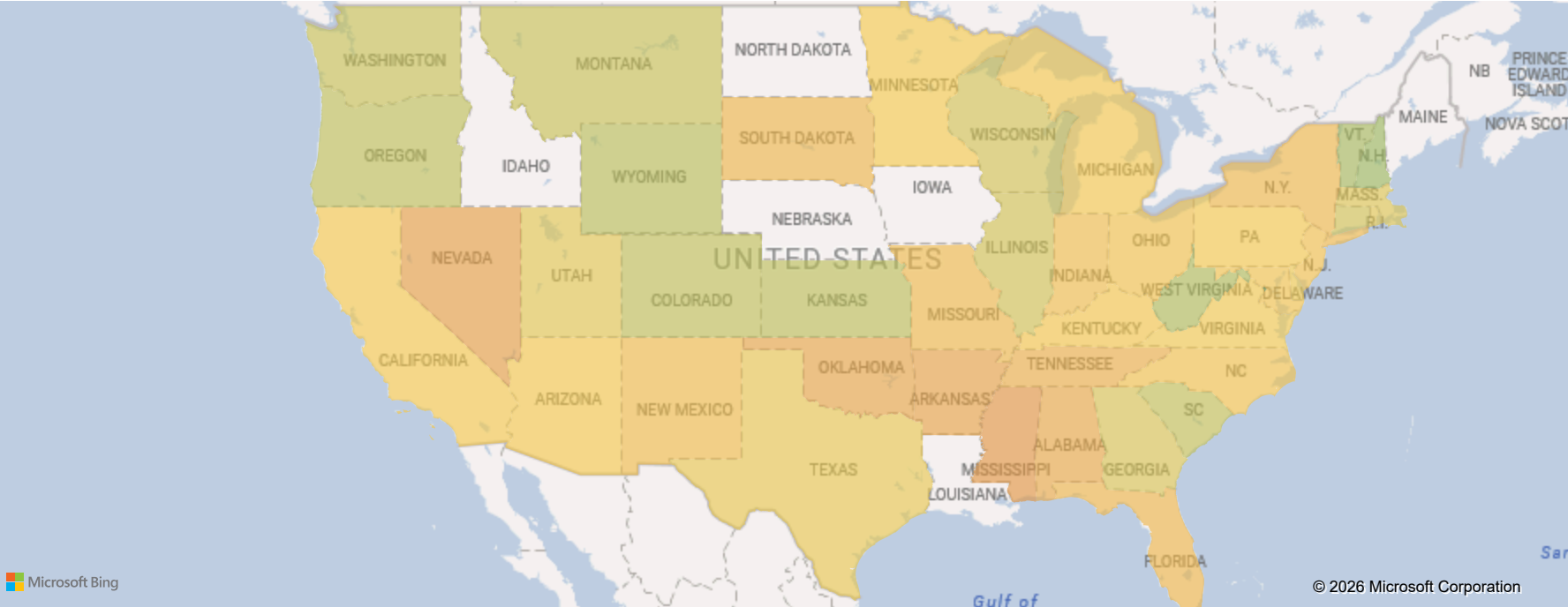
Small business loans fail most (24.4%), car loans least (11.8%). Debt consolidation is 57% of loans, at 15.6%.

Default rate by loan term (months)



60-month loans default at 25.2% vs 13.9% for 36-month loans. 60-month loans exist only for 2007 to 2013.

Default rate by state



From about 10% (DC, NH) to 18.7% (MS). Blank states have under 1,000 loans. Not used in the risk score.

Applications to Review

Review applications scoring at or above:

5

1,65,006

Applications to Review

24.5%

% of all applications

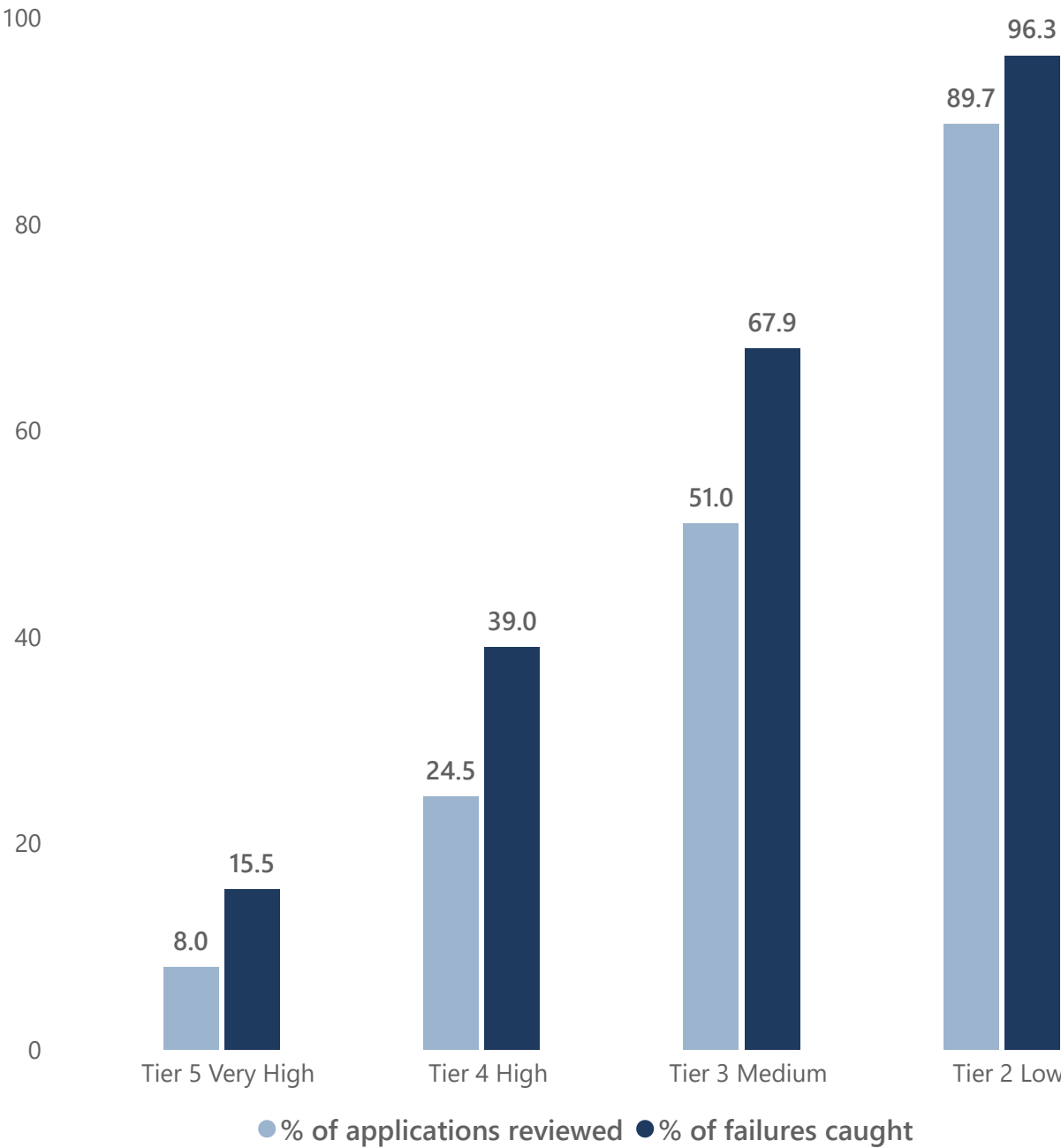
39.0%

% of all failures caught

23.61%

Default rate in this group

Review workload vs failures caught



Reviewing Tier 4 and above covers 24.5% of applications and catches 39.0% of failures.

Top 50 highest-risk applications

Application ID	Risk score	Risk tier	Loan amount	Term (months)	Purpose	Annual income	FICO score	Debt-to-income
6124659	33	Tier 5 Very High	\$12,000	60	Small business	\$36,000	662	31.83
7684925	33	Tier 5 Very High	\$27,575	60	Small business	\$70,000	662	20.40
8304687	33	Tier 5 Very High	\$15,000	60	Small business	\$50,000	672	23.93
629930	32	Tier 5 Very High	\$6,250	60	Small business	\$29,000	677	20.61
839272	32	Tier 5 Very High	\$3,375	60	Small business	\$21,403	667	24.39
10076692	31	Tier 5 Very High	\$12,000	60	Small business	\$40,000	662	26.19
1442832	31	Tier 5 Very High	\$5,000	60	Small business	\$70,000	672	30.90
1500818	31	Tier 5 Very High	\$16,750	60	Small business	\$42,000	667	21.29
3066119	31	Tier 5 Very High	\$7,550	60	Other	\$28,000	667	33.13
4568215	31	Tier 5 Very High	\$22,000	60	Small business	\$67,300	677	34.69
524478	31	Tier 5 Very High	\$2,800	60	Small business	\$49,000	662	22.10
5629325	31	Tier 5 Very High	\$12,800	60	Small business	\$45,000	677	27.68
592509	31	Tier 5 Very High	\$12,000	60	Small business	\$45,000	667	21.07
687999	31	Tier 5 Very High	\$19,125	60	Small business	\$47,520	662	21.46
803158	31	Tier 5 Very High	\$7,350	60	Small business	\$36,000	672	23.70
815482	31	Tier 5 Very High	\$11,625	60	Small business	\$40,000	677	24.81
3702603	30	Tier 5 Very High	\$24,000	60	Small business	\$62,400	682	20.22
7094824	30	Tier 5 Very High	\$15,250	60	Small business	\$39,000	697	33.84
1045768	29	Tier 5 Very High	\$7,550	60	Small business	\$26,400	687	24.32
1284382	29	Tier 5 Very High	\$16,950	60	Small business	\$55,000	662	22.52
1101710	28	Tier 5 Very High	\$16,000	60	Small business	\$60,000	670	25.70

Top 50 of the queue at the chosen cutoff, highest score first. Historical loans are used to demonstrate the queue.